Daily Rant on Business and Entrepreneurship

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1 Begin

Today it is more about Sustainable businesses rather than simple profit making mentality.

*The lab for business Entrepreneurship is the actual world (**Real world**) just like the lab for this study program is the **Spoy canal**.*

We are mainly going to look into what makes a business a business as well as the sustainability aspect of businesses.

2 What makes a Business a Business

When we are talking about a business we are talking about dealing with a stream of income in a way.

Not having a boss is one of the main driving factors for people starting a business

A business cannot grow forever; every market has a ceiling.

3 Profit Maximization: The Main Goal of Any Business

Profit is the difference between revenue and cost, both of which depend on the level of output:

$$\text{Profit} = \text{Total Revenue} - \text{Total Cost}$$

3.1 Marginal Revenue and Marginal Cost

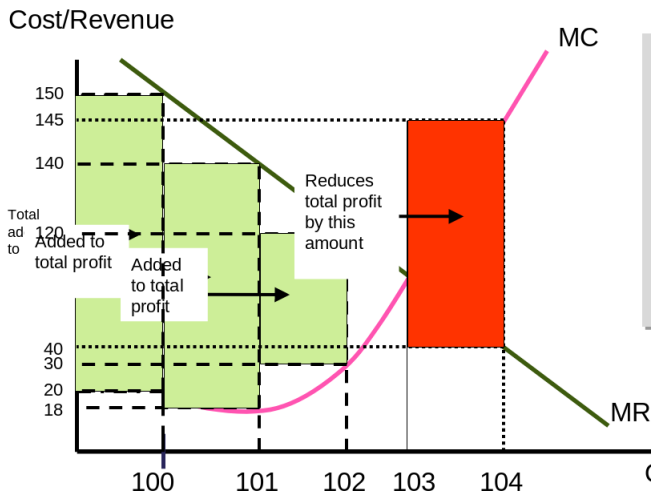
- **Marginal revenue (MR):** the addition to total revenue from producing one more unit of output. When a firm is a price taker, marginal revenue equals the price.
- **Marginal cost (MC):** the addition to total cost from producing one more unit of output.
- Profit is maximized at the output where MR = MC.
- Example: a cigarette-producing machine must be fully used to achieve a low unit cost.
  - Spreading the fixed cost of the machine over more units lowers the cost per unit.

3.2 Market Share and Pricing

- Gaining market share is closely tied to offering cheaper prices.
- Scarcity pushes prices higher.
- Natural monopolies are rare: there is almost always some competition or substitute.

3.3 Growth Limits and Diversification

- A business cannot grow forever. There is always a growth ceiling, and growth eventually plateaus.
- Staying with a single product inevitably leads to a plateau.
- Firms can keep growing by entering other markets, developing new products, or buying other businesses.



Think of including the graph of marginal cost and marginal Revenue. Marginal revenue tends to be higher at the beginning and drops over time. The more you try to sell the less you can as for the additional unit. When marginal cost equals marginal revenue you have to stop. You now run the risk of increasing your marginal cost and dropping the marginal revenue even more.

> *You know breaking things down also has to do with the dumbing things down not just physically sectioning things if it happens that you can't follow or understand, dumb it down for you*

> *When taking notes make sure to have everything that are related stay together rather than having multiple points. You could have them in paragraph form you know that will make the after reading more understandable.*

share price?

4 Profit maximization in the real world

Profit Maximization very often does not guide business decision making. Some people are pretty okay with the current state of their business and are not willing to take the decision of venturing into something new or taking risks.

Sales maximization is aimed at attempting to maximize the volume of sales rather than the return gained from them. This could be done in order to establish a monopoly on the market.

Share Price Maximization: Pursuing policies aimed at increasing the share price on the market.

Profit Satisficing Generating sufficient profits to satisfy shareholders but maximizing at a certain level business owners are satisfied with the whole idea of making money. Learn more about corporations. the rewards to the managers/board, and avoiding attention from rivals or regulatory authorities.

- Convincing the Capital market of the share value of the product.
- Infinite growth is impossible.
- less than 0.05%
- How many report **more than 500m** in global revenue? 1,800 = less than 0.5%
- How many are publicly traded corporations? 12,000 = 0.3%
- how many report less than **1m** in global revenue? 3.3 million = 87%
- How many do some kind of manufacturing? roughly 630,000 = 16.6%
- which business is the largest in Germany? **VW** 330 billion in revenue, 680,000 employees.
- Which business is the largest privately owned in Germany? **SCHWARZ** group: 190 billion in revenue, 600,000 employees

Boehringer family
Albrecht Aldi

5 What is a Business Model

Definition: A business model is the Entrepreneur's logic that will allow a venture to:

- Capture the Market opportunity;
- Mitigate risks;
- identify the required resource set; and; and
- Create value for investors and founders.

Describing The WHY:

- The business **idea bridges idea and action**. It answers the question of **why** a venture will be viable or valuable.
- it is not a strategy and not a plan.
- It evolve overtime.

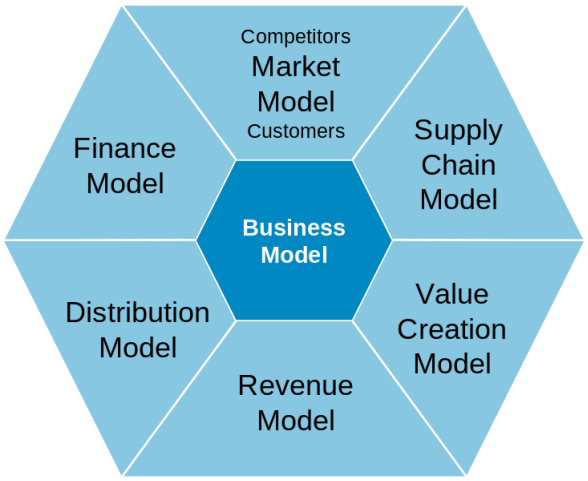


Figure 1: The 6 various business models shown on the Hexagon above containing a series of questions to be answered in order to develop a proper business model

5.1 Defining the Business Model

Business models are formed through a process of addressing a series of questions

- In which market do we operate?
- Which **product or service** do we offer
- Which part of the value created there will actually be created by us.
- How will we cooperate with other businesses in creating our value?
- Which resources do we need **just once**?
- Which resources do we need **Everyday**?
- How will our business evolve over time?